# SAMPLE FINANCIAL REPORT

Northstar Consumer Products Ltd.

Annual Report & Management Discussion
Fiscal Years 2023–2025 | Prepared for RAG learning and testing

| Metric | FY2023 | FY2024 | FY2025 |
|---|---|---|---|
| Revenue (USD millions) | 100.0 | 112.0 | 126.0 |
| Gross profit (USD millions) | 38.0 | 42.6 | 47.9 |
| Operating profit (USD millions) | 12.0 | 13.4 | 14.8 |
| Net profit (USD millions) | 7.2 | 8.1 | 9.0 |
| Total assets (USD millions) | 85.0 | 91.0 | 99.0 |

**Important: This report is fictional and created solely for software development, testing, and education. It does not describe a real company and must not be used for investment decisions.**

# 1. Company Overview

Northstar Consumer Products Ltd. is a fictional mid-sized company that sells household and personal-care products through retail partners and online channels. This sample report is designed to provide clean, searchable text for experimenting with document extraction, chunking, vector search, and citation-grounded question answering.

## Business model

The company earns revenue from product sales to distributors, retailers, and direct online customers. Its main cost categories include raw materials, manufacturing, logistics, marketing, and employee expenses. Management states that the company aims to grow through new product launches, improved distribution, and better inventory planning.

## Reporting basis

All financial amounts in this sample are expressed in US dollars (USD) and, unless otherwise stated, in millions. Fiscal years end on 31 December. Values are illustrative and are not audited financial statements.

## At a glance

| Indicator | FY2023 | FY2024 | FY2025 |
|---|---|---|---|
| Revenue | 100.0 | 112.0 | 126.0 |
| Gross profit | 38.0 | 42.6 | 47.9 |
| Operating profit | 12.0 | 13.4 | 14.8 |
| Net profit | 7.2 | 8.1 | 9.0 |

# 2. Financial Performance

## Revenue

Revenue increased from USD 100.0 million in FY2023 to USD 112.0 million in FY2024, then to USD 126.0 million in FY2025. The company attributes the growth primarily to higher sales volumes, improved distribution, and successful launches in selected product categories.

## Gross profit and margin

Gross profit increased from USD 38.0 million in FY2023 to USD 42.6 million in FY2024 and USD 47.9 million in FY2025. Gross margin was approximately 38.0% in FY2023, 38.0% in FY2024, and 38.0% in FY2025, based on the rounded figures in this report.

## Operating profit

Operating profit rose from USD 12.0 million in FY2023 to USD 13.4 million in FY2024 and USD 14.8 million in FY2025. Management says that improved production planning partly offset higher distribution and marketing costs.

## Net profit

Net profit increased from USD 7.2 million in FY2023 to USD 8.1 million in FY2024 and USD 9.0 million in FY2025. The figures show a positive trend in reported profit, but they do not alone establish the company's future performance.

## Year-over-year revenue growth

Revenue growth was 12.0% in FY2024 compared with FY2023, and approximately 12.5% in FY2025 compared with FY2024. These percentages are calculated from the revenue values shown in this sample report.

# 3. Financial Position and Liquidity

Total assets increased from USD 85.0 million at the end of FY2023 to USD 91.0 million at the end of FY2024 and USD 99.0 million at the end of FY2025. The sample report does not provide a full balance sheet, so these figures should not be used to infer a current ratio, debt-to-equity ratio, or cash balance.

### Cash flow

Management's illustrative commentary indicates that working-capital discipline and inventory planning are priorities. No numerical cash-flow statement is included in this sample. An analyst should therefore avoid reporting operating cash flow or free cash flow as known values.

### Debt and liquidity

This sample does not disclose total debt, cash and cash equivalents, current assets, or current liabilities. If asked to calculate leverage or short-term liquidity ratios, the assistant should explain that the required evidence is missing rather than inventing figures.

# 4. Principal Risks

### Raw material price volatility

Changes in supplier prices could put pressure on gross margins. Management says the company reviews supplier contracts and product pricing, but these actions may not fully offset cost increases.

### Supply-chain disruption

Transport delays, supplier interruptions, or unexpected demand could affect product availability. The company aims to reduce risk through supplier diversification and improved demand forecasting.

### Competition and customer demand

Competitors may introduce similar products or reduce prices. Changes in consumer preferences could also affect sales. The company plans to monitor customer feedback and product-level performance.

# 5. Management Outlook

Management's illustrative outlook focuses on product innovation, expanding online distribution, improving forecasting, and controlling operating costs. This narrative is not a formal forecast. No future revenue, earnings, or cash-flow guidance is provided in the sample report.

# 6. Data Notes and Limitations

This document was generated as a fictional educational dataset. It is intentionally written with clear text and simple tables to support beginner RAG experiments. It is not a real company filing, audited report, or source of investment advice.

## Known numerical values

Revenue (USD millions): FY2023 100.0; FY2024 112.0; FY2025 126.0. Gross profit (USD millions): FY2023 38.0; FY2024 42.6; FY2025 47.9. Operating profit (USD millions): FY2023 12.0; FY2024 13.4; FY2025 14.8. Net profit (USD millions): FY2023 7.2; FY2024 8.1; FY2025 9.0. Total assets (USD millions): FY2023 85.0; FY2024 91.0; FY2025 99.0.

## Questions suitable for testing

1. What was revenue in FY2024? 2. What was net profit in FY2025? 3. How much did revenue grow from FY2023 to FY2025? 4. What risks does management identify? 5. Does the report provide total debt? 6. Can the current ratio be calculated from this report? 7. Why did operating profit increase?

## Expected behavior

A reliable RAG application should retrieve the relevant report passage, answer using the values and commentary actually present, cite the relevant page, and say when a question cannot be answered from the document.

**End of sample report**